

Chapter 12

Fundamental Analysis and a Valuation Framework for Cryptoassets

With an awareness of the many tricks that can be played on investors in emerging markets, it's time to develop a framework for innovative investors to evaluate a cryptoasset for their portfolio. Each cryptoasset is different, as are the goals, objectives, and risk profiles of each investor. Therefore, while this chapter will provide a starting point, it is by no means comprehensive. It's also not investment advice. Since this space is moving at light speed, our intent is not to say, "Buy this, sell that." Remember, in the process of writing this book, we watched the aggregate network value of cryptoassets jump from approximately \$10 billion to north of \$100 billion and hundreds of new cryptoassets come to market.¹

Investors need to judge for themselves what to do. Our goal is to provide a basis for what to look for when first investigating cryptoassets. Then, using knowledge from